

Within three decades of the launch of railways in India, and many financial experiments later, the Government of India once more began to feel that the enterprise's fiscal responsibility needed to be shared by all its stakeholders and beneficiaries. It began encouraging provincial governments to build light, economical railway networks.

### **Fresh experiments**

By the end of the year, the Darjeeling Steam Tramway Company opened its first section. State assistance was limited to free land and a guarantee from provincial revenues. Meanwhile, in 1879, the Government bought back the East Indian Railway (EIR) after 25 years, according to the contract provision. This opened up a new financial arrangement of allowing the company to utilize its experience to manage and work the lines, while retaining State ownership. This became a successful template for many such future cases. In the years between 1880–84, a modified version of the Old Guarantee System (see [Financing the Railways](#)) evolved to attract private enterprise for railway construction.

In order to limit the escalation of interest pay-outs on sterling loans, the modifications, in most cases, entailed linking the “guarantees” with the value as well as the assured duration of the completion of railway projects. During this period, four contract templates were developed to suit the needs of prospective railway companies. These also became the basis of the Government's efforts to work towards a policy framework of railway construction in the decades that followed.